

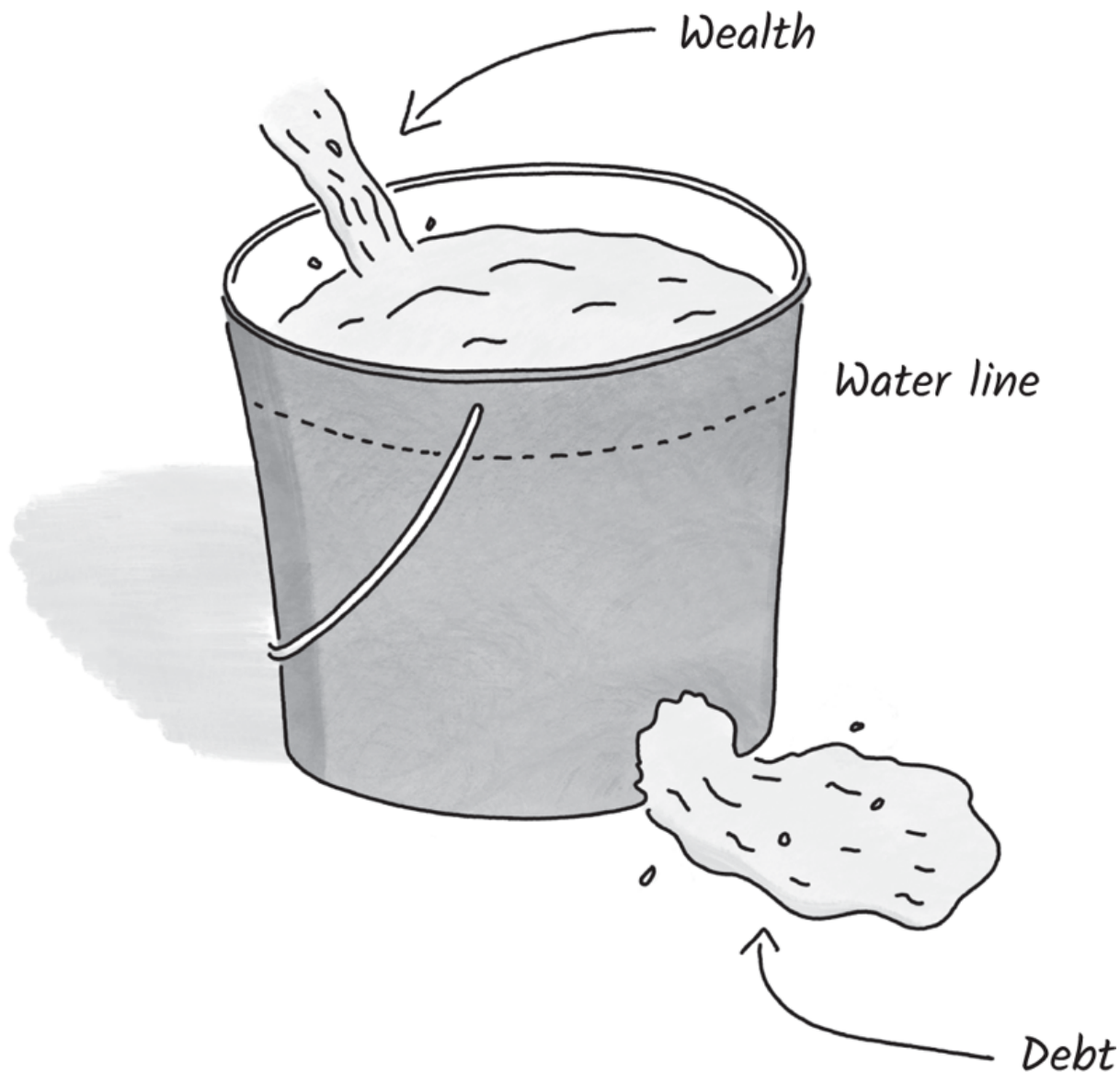


Figure 3.2: high-interest debt drains your bucket

High-interest debt is the hole in your bucket. Let me explain with numbers. If you invest and get a nice 10 per cent return every year but you have a car loan or high-interest credit card debt of the same amount that is taking 15 per cent per annum, you're not making money — in fact you're still losing 5 per cent. In simple terms, if you have \$100 a month to either invest or pay off high-interest debt, you're going one step ahead but two steps back by investing it. Getting rid of high-interest debt is an important part of your financial wellness journey and another strong brick in your foundation.